

Case Study on Zomato

THE IDEA BEHIND ZOMATO.....(INTRODUCTION)

Zomato's tagline – "Never have a bad meal". It serves as a comprehensive encyclopedia of restaurants, replete with ratings, average pricing, menus, and reviews. It is currently the only app of its kind in India. To keep the people entertained, they even have a streaming service with roughly eighteen original series. Zomato just focuses on food. It also intends to include everything from restaurant discovery to delivery in its value chain. Coming to the backstory of Zomato....in the year 2008, one day Deepinder Goyal and Pankaj Chaddah were waiting in the line for lunch in their cafeteria with their coworkers, it happened. They observed the lengthy line and considered how much time would be saved if customers could order their food online rather than waiting in line. They posted a few images of the cafeteria's menu on the business website as a result. Soon many workers began placing online orders rather than visiting to the cafeteria directly. Originally known as Foodiebay, it is now called Zomato.

So, coming to what Zomato is all about, Zomato wants to change what people eat? So, they are focusing on how people eat? They believe that if one has a decent amount of positive influence over how we eat, they can use that to be able to influence one to what we eat.

Their vision is "Better food for more people". Zomato's future says that hopefully they will pivot and so but they think that they will have to launch in a lot of new products, experiment a lot with what users need and want and step by step, hopefully they'll get there.

Whom does Zomato see as competition? obviously competition is not a necessary competition but yeah, they have different parts of business, food is generally of two types- people going to food and food coming to people, in these two segments they have different people to compete with and they also have a sourcing business from farm to restaurants and they actually compete for different players in this business, there are multiple players to compete with so far, there's nobody in their opinion yet who is chasing everything food kind of Vision. Let's see where it goes.

The challenges faced by Zomato which is the venture capitalist funded company and so on, will short termism in their thinking affect? because they are trying to make the investors happy every quarter and so on and so forth. However, their vision cannot allow short termism so, how do they manage that conflict of short-termism versus long-term isn't so?- They think the long term is essentially a vision which they have to stay true to and a long term is built by multiple steps of the short-term, in the short term, they do something which adds up to long term as well it's something that finishes within that short-term and gives them the ability to play for the long term, eventually everything is about the long term, sometimes they have to earn the right to play for the long term by doing something short -term, that's also fair game.

HOW ZOMATO PLANS TO WORK TOWARDS LONG-TERM SUCCESS?

The vision "Better food for more people," the food delivery battle, then the discounting wars and all of those things they're not really going to add up to better food for more people in the room, but they have to win this to be able to have the right to food so go to market approach. Being a start-up is about a culture of an organization rather than a state of an organization.

HYPERPURE ZOMATO

Zomato's Hyperpure concept is incredibly original and clever. By creating Hyperpure, they created a benchmark for the caliber of goods and services provided in the area of food delivery. The company B2B structure called Hyperpure allows it to supply restaurants with the best food products and components. Zomato-Hyperpure -almost everything a food service would need is available there. It produces groceries, dairy products, gourmet and packaged meals, beverages, kitchenware, packaging, bakery goods, meats, and seafood.

ZOMATO'S MARKETING AND COMMUNICATION STRATEGY

The biggest principle they follow will always be speak the truth and no matter what, putting out their honest truthful feelings out is always the key, what they think, what they feel and they know that there are going to be people who don't like what they are saying, but there's no point in optimizing for those five to ten percent, right now. If one is only focused on the truth, one doesn't need to train people on anything else and consistency over years also gets maintained, inside the organization nobody should be able to call one out that he/she were actually bluffing because then they lose the ability to lead the teams, who should trust them in terms of what they say and what they do and one single lie or one single mis-articulation of any fact or truth is going to completely destroy that and that's not something that one would do if they're building something for 20 to 25 years.

SENSE OF PURPOSE THAT THEY SERVE FOR, HOW ZOMATO LIVES UP TO ITS BRAND PURPOSE.

It doesn't yet articulate, it doesn't get manifested in terms of day-day interactions that they have with users. Our hyper pure business is still very young and that is the business which they need to increase in terms of touch points of the customer and they would like to see where it goes but right now, they are more focused on how and actually providing the highest quality service to customers so that they stick to them for the next 15 to 20 years of their life.

ZOMATO'S QUEST TO EDUCATE THE CUSTOMERS AT SCALE

In order to change the basic fabric of the quality of food that is produced in a country like ours... they need to educate customers at scale, so we don't know whether the vegetables that we are eating are full of pesticides, whether the meat that we are using is full of antibiotics, we don't know any of these things and customers don't even know that they should be asking for X versus Y and a lot of B2C companies have tried to change, the customer's mindset, but that's being more of a niche phenomenon and since the demand is low. These companies are never able to get a large enough demand base to be able to bring their prices down to a level where more people can buy so it just stays a niche product like those companies start off with like an invasion of scale and wanting like to really change the world but given how the market structure works, they're never able to get to a point where a lot of customers are eating their food. Zomato doesn't want to grow or cook food, they're going to partner with farmers, they're going to partner with restaurant owners and they're going to pretty much do everything else that comes between farm and fork and they think that these B2C business these days doesn't really scale and Whole foods in the US sold to Amazon for seventeen billion dollars. Deepinder thinks that a very large company like that, if his not wrong there was like 1.5 percent of the grocery market of the USA right its niche, so they think customers are going to eat out or order way more than they cook at home," Ghar Ka Khana is now

moving to Ghar Bete Khana, a transformation is underway, this is Zomato's analysis of changing food habits.

How do they bring that "Ghar bete khana" but "Bahar ka Khana", how to bring that trust within this way? They have a triple AQ framework under which they measure a restaurant, the restaurant industry and whether the services that they provide to the user are actually making sense. Triple AQ – Affordability, assortment, accessibility and quality, if they could solve these four things like ten out of ten there is no reason for us to cook at home, quality also means cleanliness of food, Hyperpure is their biggest push in terms of quality to customer.

HOW ZOMATO ENSURES RESTAURANT QUALITY

Let's say, for example, there's a customer of Zomato, but he/she cannot have control over necessarily over everything that the back end does, if a restaurant lets them down, they will get angry with Zomato, if anybody that he/she interacts with Zomato lets them down, the delivery, poor packaging comes. How would they solve that?

Zomato is an operationally heavy business and it actually relies on hundreds of thousands of people to enable the kind of customer experiences that they do, things are going to go wrong, one of the things that they always make sure that the marketplace of different partners is as being as possible and they're less bad actors going forward so they could use data to make sure that there are less and less bad actors going forward, if a restaurant is getting lesser ratings, they are going to make sure it gets less orders going forward as well, it's all algorithmized.

ZOMATO'S PLAN TO IMPROVE CUSTOMER SATISFACTION

They make sure that we get complete customer satisfaction, if we order from them a hundred times, one or two times, it isn't going to be a great experience and it is right for us to get angry at them because we placed trust in their market place, and they are managing the marketplace for us, but over the next few years they have to make sure that this one or two out of a hundred drops down to zero point one out of hundred (0.1/100) and the rest of the great experiences that we have, the great experience we have more than compensate for what went wrong and that's how they think of customer satisfaction in their sector.

Zomato's advertisement revenue comes only from restaurants, hundred percent of it, don't want to advertise a bad product to their users.

HOW ZOMATO SCOUTS FOR AND SELLS TO ADVERTISERS?

In newer markets, they have a good sales force which goes out to restaurants, and tries to get in their ad revenue and some of the older market almost 40% is actually even bound.

WHY DO THEY FEEL THE NEED TO CREATE CONTENT? WHY CONTENT CAN BE KING FOR ZOMATO?

They feel that content is the only way to actually educate the user about what they should be eating finally, and they can use their platform to be able to influence people on shows, some videos, trying to tell people any more interesting consumable format that's going to be a big help to get to their vision of "better food for more people". Zomato plans for regional languages, they are doing Hindi and English upfront.

ZOMATO'S MARKETING STRATEGY

We cannot discuss Zomato's exceptional success without bringing up its digital marketing strategy that contributed to its notoriety and helped it become a household name. The target demographic for Zomato is mostly young people between the ages of 18-25. Those who have busy schedules, and are lazy. They do a great job of marketing themselves because they are appealing and relatable. In contrast to other corporate organizations that come out as excessively stuffy, Zomato's digital marketing strategy is innovative and adaptable. The humor, playfulness, and sarcasm in many of their message's appeal to young people. They interact with the crowd and are energetic. An enthusiastic customer is a pleased customer. They develop their own cashback leagues, like the Zomato premier league, to piggyback on big events like the IPL, they have mastered the use of PPC commercials and YouTube marketing, making sure that their advertisements are attractive, eye-catching, look tasty, mouth- watering and alluring that the consumer can't help clicking on them, and also the notifications being sent based on the time, weather of the day and focusing on the usual food cravings of people during those particular hours. Zomato aims to serve as a one-stop shop for foodies all around the nation. Regardless of whether you want to place an order, eat out, or just lay in bed planning your cheat day's menu. With Zomato, you're covered.

WHY CONSUMERS BEHAVIOUR MATTERS TO ZOMATO?

Food coming to kind of business but they have like a million gold members as well ,and they all use Zomato for dining out and for the first eight to nine years of its life, it was a restaurant review business, but now the content wasn't coming from us, but was a content business and there are a lot of people who come to consume content at Zomato so it's not really different from what they do, and they think a lot of their target audience in terms of getting people work at Zomato, they have used them in multiple ways, so consumers know that they stand for something more than just getting food to their homes. The future of Zomato as a content platform. The biggest use of data is consumer personalization. These are the kinds of restaurants or foods that one liked so they will use some delivering algorithms and try to give people more of what he/she might like, because people like change, people like to try something new, but that new doesn't have to be so different that one will hate it, it's going to close to their current it has to be twenty- percent close, and then once people become comfortable with stepping out of their comfort zone by that much then they show some more and some more so eventually, Zomato wants all of their audience to be able to eat everything, taste everything.

WHY CAN'T A PERSON ORDER IN SOME OTHER LANGUAGE?

It's an operational issue rather than an intent issue, very soon we will be able to, for that they have to translate all their menus, so there's just like so much work to be done. With the upcoming technology, they are willing to start to do those things, very soon.

ZOMATO IN 2040, HOW WOULD DEEPINDER DESCRIBE IT?

"Zomato in 2040 would be that three to four million people in our country will have access to clean food" says Deepinder Goyal (Co-founder of Zomato)

ZOMATO DURING THE PANDEMIC

The government significantly increased the dining out service as a preventive measure in response to COVID-19. Due to COVID-19 because of some government preventive actions, although other services are improving quickly. Zomato's COVID Report 2 compared order sizes between pre-COVID and the present discovered that ordering for a family or group is more common as people move in with their respective families, whereas single orders have significantly decreased. The pattern of virtual presence is returning to an actual presence at various locations as things start to get back to normal.

No surprises, but here's a fun fact, Biryani is the Indian meal that Zomato users order the most. Only during Pandemic 2020, there were almost 44 lakh orders placed on Zomato. Like twenty-two biryanis were served by Zomato every minute.

SWOT ANALYSIS

Strengths: A Unique approach-the company has put many innovative concepts into practice on numerous fronts and can give them tremendous sway. In several large metropolis during the COVID-19 era, there is a demand for grocery delivery via online applications. To stop COVID-19 from spreading and to support delivery drivers and restaurant partners, the company introduced contactless dining which enhanced online payments and food takeaway services. In locations like Delhi and Bangalore, Hyperpure services were offered, supplying kitchenware and fresh, hygienic food to restaurants at their preferred times. The general population is strongly backed giving period breaks to female employees.

Global Presence: Zomato has led the way in several countries when it comes to online food delivery systems, which has significantly increased its market share. With a large team and restaurants listed with them, Zomato operates in more than 10,000 cities across, providing, a wide range of options to its customers. When compared to its rivals, it has a stable user base with millions of active customers, each month.

Acquisition: Through the purchase of more than 12 well-known companies, Zomato strengthened its position in the worldwide market, giving it a competitive advantage and expanding its customer base.

Simple and User-Friendly interface- With an emphasis on the IT department, the organization fully supports the newest technology. The firm's ever-growing scale has led to a number of complications and management-related problems. Sushi, the company's incredibly user-friendly, straightforward, and reliable design system. This aids in making the user more accustomed to the interface.

Weaknesses: Security, in order to maintain consumer confidence, the application's integrity and security must be maintained at all costs. The business uses the client's phone number, email, address and location to improve the effectiveness of its services. Information about users was lost as a result of the previous security breach. The company's IT division is concentrating on it to offer better security. The programme occasionally shows inadequate details, out-of-date menu cards, poor image quality, etc. about the available restaurants, dishes, etc.

Opportunities: For growth in rural areas and other nations: The business is growing rapidly, which has the potential to have a significant impact on the world. The company is attempting to concentrate on major cities and semi urban areas as these places receive the majority of

their business. In remote locations, the logistics services must be handled. By concentrating on rural areas, companies who supply food online will have access to new customers.

More and more people are using smartphones: The majority of the company's clients are young people and students. Additionally, a large portion of this clientele uses the internet. To broaden the company's consumer base, more knowledge of the use of such applications should be generated.

Threats: Competitors-They are vying for the loyalty and trust of customers in this still untapped market for online meal delivery. This increases competition in the market among other players, including Dunzo, Food Panda, Swiggy, Dominos, and Scootsy, among others. Their profit margins were also reduced by too many marketing initiatives.

Google services: The business also offers Google services in addition to services like food delivery, dining out, navigation, and menu cards.

Business Models: Zomato, which invented the online meal delivery service, concentrated on developing many business models and market strategies. Now that other market competitors have started utilizing the identical models, they are facing stiff rivalry.

Technology: Modification of the Reviewing System- Zomato offers both in-person eating and online meal delivery. When both of these services are offered, the quality of service can occasionally vary. Firm's single review procedure occasionally results in inaccurate information and misunderstanding.

Challenges: Market Prices- because of the ongoing competition, market prices continue to fluctuate because prices are constantly changing. While the smaller businesses cannot survive this intense rivalry, the larger ones may suffer short term losses, but can make up for it through other means. Giving the company any form of exclusive agreements or incentives during these difficult times could prove to be quite burdensome.

Customer loyalty- Providing better and better services to a growing number of consumers is the most important necessity for the service sector, which increases market share. Consumers in the market compare every aspect of the services offered, and their loyalty to different providers changes over time.

Unreliable delivery and logistics- The company needs to monitor its logistical services, allocating the right number of trucks at the right time to the regions where they get the majority of their orders. In order to reduce delivery delays, it is also important to create efficient routes for quick delivery to clients. The location service should be integrated into the system so that customers may locate themselves simply and reduce order cancellations due to delays in delivery. The company's top priority must be serving high quality cuisine.

THE IMPACT OF COVID-19 ON ZOMATO

Initiatives in covid-19: Orders were reduced by 60-70 percent at a time during Covid 19 lockdown. The business began offering grocery delivery since it was necessary at the time. Also linked with Zomato with Grofers for it, which unquestionably reduced the company's financial load and also assisted in battling against rivals like Jiomart and BigBasket.

For Delivery Partners: Because the delivery staff's pay had been cut, the company gave money to them through the Rider Relief Fund. If any of the company's employees contracted

COVID-19, the company provided assistance with hospitalization costs through the delivery partner insurance plan.

For restaurant partners and employees: A portion of the annual subscription plan was donated to the staff's Zomato Gold Support Fund in order to assist them during these trying times. Takeaways had no commission and allowed customers to pick up their meals directly from the restaurants, which made things easier for everyone involved.

For customers: The business introduced contactless delivery to reduce the risk of virus infection. In order to reduce touch, cash on delivery was completely avoided and digital payments were encouraged. The Zomato Gold membership was increased.

ZOMATO'S LOSSES DECREASE AS FOOD ORDERS INCREASE

Due to an increase in food orders and the number of repeat customers, Zomato's adjusted losses have decreased from the previous quarter. In the first quarter of its fiscal year 2023, the company's adjusted EBITDA losses decreased from US\$27.9 million to 1.5 billion rupees (US\$19 million).

Zomato's adjusted revenue for the quarter increased from US\$146.9 million to US\$229.3 million. The majority of it came from meal delivery, which provided US\$186.1 million, with the remaining US\$34.2 million and US\$8.9 million coming from its restaurant supply procurement service Hyperpure. The food delivery industry achieved a significant milestone in the reported period by reaching adjusted EBITDA breakeven, according to the company's CFO, Akshant Goyal. Zomato reported adjusted EBITDA losses of US\$3.8 million last year. In the quarter, a gross order value (GOV) climbed to US\$814.5 million from US\$576.4 million in the prior quarter. Although he added that average order values only witnessed a slight increase, Akshant said that the surge in GOV was caused by "a strong growth in order volumes." In the meantime, year over year revenue growth for Hyperpure exceeded 260%. Moving forward, according to Akshant, the division can achieve EBITDA margins of 5% to 10%, which gauge operating profit as a proportion of sales.

ZOMATO COMPLETES THE ACQUISITION OF FAST-GROWING RETAILER BLINKIT

Zomato announced the deal in June after its board approved the acquisition of Blinkit for Rs 4,447 crore. The ancillary business was bought for Rs 61 crore. Akshant estimates that it took Zomato 45 months after the company started offering meal delivery to catch up to Blinkit's current monthly GOV scale. According to him, a significant portion of Blinkit's current government business comes from its legacy clients and is also due to its former infrastructure, supply-side network, and knowledge, all of which enabled for rapid growth. Then he added, "Quick commerce encompasses a wide spectrum of necessary purchases, such as groceries, fruits and vegetables, personal care products, OTC medications, stationery, and more. As a result, we anticipate that the overall client base, average order value, and monthly order frequency will be higher than those of meal delivery (restaurant food is still more of a luxury purchase in India)."

Following the completion of the purchase, the leading meal delivery e-commerce company intends to test using Blinkit's and Zomato's respective user bases in tandem. Zomato's CEO,

Deepinder Goyal, stated that even though the company is now losing money, it will be in "financial conservation mode." Additionally, the company has no plans to invest in any other minorities. Blinkit, a company that specializes in rapid commerce, will be acquired by Zomato for US\$570 million in an all-stock deal. Additionally, it will pay \$8 million in cash to buy the warehousing division of Blinkit. Deepinder Goyal, founder and CEO, said, "We will also begin integrating the back-ends of the delivery fleet, which should result in improved delivery efficiency over time. In terms of geographic footprint, the objective, for now, is to remain focused on the top 15 cities and strengthen Blinkit's presence in these regions. Tech integrations between the two organizations will quicken the pace of advancement at both ends."

TEACHING NOTES

SYNOPSIS

‘Deepinder Goyal’ and ‘Pankaj Chaddah’ created the international restaurant aggregation and meal delivery business Zomato in the year 2008. Zomato offers information on restaurants, menus, and user ratings. Selected cities also offer food delivery alternatives from partner restaurants. Zomato has established a solid foothold and is now active in 22 countries, with more than one million eateries worldwide. Every day, 1.25 million orders are placed through Zomato. A group of food soldiers from Zomato also visit each restaurant to reassure them that their data is secure. Consumers can write stories based on their eating experiences, offer reviews, and express their thoughts. By taking this action, Zomato becomes more social. One of the reasons why people like to purchase food online is because it’s a user-friendly app. 22 countries, including New Zealand and Australia, have more than a million users. Zomato now makes it simple for consumers to order food on their mobile device and have it delivered right to their location. It’s been going strong with their tagline ‘Better Food for more People’.

TEACHING OBJECTIVES

This case is aimed at undergraduates in the field of marketing, HR, and operations. A case study is an examination of a specific instance (or "case") of something to show how its use produces quantitative outcomes. Case studies like these are utilised as social proof in the fields of marketing, HR, operations about how a company like this, has and had been solving problems in these fields, gives students a real-world experience, a practical based approach towards learning and it also provide customers the context they need to decide if they're making the right option, and also makes students know how companies survive, and thrive in this competitive and fast pacing world through various strategies and tactics and end up making a place in the business world.

Teaching Objective 1) Case studies give students examples of circumstances in which they can start to consider their comprehension and answers to issues that arise in real-world settings.

2)Never undervalue the importance of offering social proof at precisely the appropriate time to bring value and win their business. When buyers are actively comparing solutions and suppliers to address an issue they are facing, during the consideration stage of the buyer's journey, case studies are quite helpful.

3) Highlighting good or bad management practises, the majority of cases aim to spark conversation. Students receive feedback about when their decisions are more or less compelling from their lecturers and classmates throughout the cases they are studying. It gives them the ability to hone the judgement necessary to make decisions in the face of ambiguity, communicate those decisions to others, and win their support – all crucial leadership abilities. Leaders are respected for their decision-making. It is a skill that case method students practise honing a lot.

RESEARCH METHODS

App, Videos, company websites, newspaper articles, interviews by tv hosts, reviews.

Zomato's three main customer segments are as follows:

Users: A website that helps customers identify nearby restaurants is ideal for those who want doorstep delivery.

Local Restaurants: The Zomato platform is important for restaurant owners who wish to advertise their establishment to draw in the right kind of customers.

Delivery service providers: They might make a respectable living by providing full- or part-time services.

Indicator of Value

Zomato is a top online ordering service that lets customers choose from a wide variety of restaurants in their area. Moreover, Zomato enables them to advertise one's food business if he/she are new to the food industry and want to build a strong web presence. Therefore, it claims that Zomato bridges the gap between customers and restaurant owners. Users can track their orders in real-time and receive an anticipated delivery time after placing an order. Clients can easily place orders thanks to comprehensive search and filter options. Zomato also offers Gold Membership in an effort to grow its clientele and encourage loyalty. Customers who subscribe to Zomato's Gold service receive additional benefits like significant food and beverage discounts.

KEYWORDS

Acquisition- A corporate transaction known as an acquisition takes place when one company buys and takes control of another company.

Ghar Ka Khana- Home-made food

Ghar bete Khana- Food had at home

Hyperpure- Restaurants can get anything from dairy and beverages to vegetables, fruits, poultry, groceries, meats, and seafood with Hyperpure.

Customer satisfaction -Information on customer satisfaction, such as surveys and ratings, can assist a business in deciding how best to change or improve its goods and services.

ASSIGNMENT QUESTIONS

Question no.1

1)For them, Social media has served as a platform for conversations with both current and new clients.What are the straightforward guidelines,they've been focusing on?

- 'Always be there for your customers'-They've always made it a priority to pay attention to their consumers feedback and respond as quickly as possible. Their users support them, criticise them, offer suggestions for how to make their products better, and ask for their assistance in locating the best restaurants in the area. This resonates with them. They have constantly been able to do this because they manage social media internally.
- Adhering to their niche: Their emphasis has always been on dining out and having a good time, and they very well carry that over to social media as well. Their blog entries cover topics including food and nightlife, product releases, and Zomato news. They don't use Twitter to promote their clients.
- The king of content- if we notice, its seen that they only post updates when necessary because they don't think it's appropriate to constantly update the timeline. Being authentic and true to oneself has helped them the most in their interactions with users on social media, since it always feels like they are speaking to friends.

Question no.2

What Determines Zomato's Social Media success?

Originality is important. The most popular brands on social media engage with their customers in the same way that friends do. However, just as relationships take time to develop, it takes time to build your online profile. Helping users with login issues, for example, goes a long way toward fostering this relationship with the users, who eventually become evangelists. A user's attention is quickly captured and maintained when things are kept straightforward and enjoyable elements are added. Monitoring user behaviour on a website, aids in product development to better serve the target market. Social media platforms are a tool for communication, and also for promoting the service. One really can't put a value on communicating with customers and followers because it humanises and personalises a company.

Question no.3

How Zomato's been taking a marketing advantage by knowing people's tastes, preferences, choices, moods, emotions in buying food? how is that red colour the same over the years?

The company frequently uses humour and metaphors to engage a social media audience that might not be particularly interested in their main products. They advertise events and distribute updates that are important to them, whether big and small. The people that represent the brand have developed into individuals who uphold their moral principles regardless of the repercussions. even attempted to provide original stuff!

Zomato has been around for twelve years now. They have dealt with arguments, rivalry, talks, and more through thick and thin. Zomato has consistently shown up redder during the course of the last 12 years. Their primary line of work has evolved along with the potential for creative social media connections. While occasionally including food and people in the feed, their colour palette and font face have remained constant over the years.

Question no.4

List some campaigns by Zomato? how they influenced people to buy food using their app? things that went viral on it?

- “#OrderForMom”- Zomato's Mother's Day promotion, in which they urged their fans to #OrderForHer, was one of their most heartfelt efforts. A quick digital clip helped to spread the word about the campaign.
- “#DontDrinkAndDrive”-Zomato occasionally posts PSAs online. These are both serious and light-hearted at the same time. Additionally, they speak with a colloquial voice with regional undertones. One of these advertisements had the hashtag #DontDriveAndDrive.
- “Har Customer Hai Star”- the delivery person doesn't stop or wait to get a selfie or talk to their favourite film star when they deliver to their house, just because they would be late to their next order. Hence, depicting that every customer is given equal value.
- Premier League on Zomato-In India, cricket is a crucial issue for a company to capitalise on. Zomato has successfully run a Zomato Premier League, keeping fans interested, in addition to occasionally posting other creatives fusing food and cricket.
- Providing assistance-Zomato has consistently stepped up to use its network and influence to accomplish good deeds and enable others to aid during difficult times. Recently, they have been supporting migrant workers and other people affected by the pandemic by running the #FeedTheDailyWager campaign.
- A video of Sonu, a content Zomato rider, went popular earlier this year. Zomato had modified their display image in response. A number of brands and government agencies like Lays,Pune city police also used the occasion to advertise their brands on social media, showcasing the effectiveness of his contagious smile.
- “Ghar Ka Khana “ It was unexpected of Zomato, a food delivery platform, to request that consumers eat home-cooked food before to lockdown. Several firms took notice of it and capitalised on it as they responded on Twitter with their own humorous messages.
- “#RideToFame”-Zomato had launched a campaign encouraging their driver-partners to get inventive and showcase their skills in little videos. The TikTok app played a big role in the #RideToFame campaign. The brand showcased some of the greatest entries.

Question no.5

Why advertise on Zomato?

- a) Unconditional Customer Growth-Increasing the number of visitors to your page will increase business and revenue for your restaurant.
- b) Find the correct audience to target-at the most appropriate time and place, be seen by clients looking for what you have to offer.
- c) A track record-Get access to cutting-edge statistics and monitor the success of your campaigns.

d) Invest in Results-By just paying for the clients who are led to your page, you can take the guesswork out of advertising.

Question no.6

One of the roots that Zomato communicates with its customers is via two ways, one is captive, where people download the app and they are transacting with it, the other way is via social media through which they talk to them. So, that requires a lot of empowerments of the team which creates communication, so let us know how that communication is carried? What exactly is Zomato's digital marketing strategy? that has made it stand in the top position in the food business world?

Zomato interacts with its audience by posting on sought-after subjects. It is aware of the nature of its audience. As a result, it promotes well on stuff that encourages people to share, discuss, and revisit it. To captivate visitors and to keep them online, it uses popular topics and publishes straightforward pictures. For example, The Olympics are among the most notable occasions in the sports world. a post from Zomato from the 2016 Olympics showing coffee mug-stained circles as Olympic rings saying "If coffee-drinking were an Olympic sport, we'd take the gold".

Connecting with the consumers was facilitated by posting on popular themes using memes. Users probably don't want to contemplate too much while using social media. In actuality, individuals utilise social media to enjoy and view humorous content. Expect your material to be shared when such content shows up on their news feed.

Coming to Paid Promotion, it utilises Google AdWords for their search ad campaigns. It targets words or terms such as "food," "online ordering," "restaurant names," and many others. It points to attract people who want food delivered to them.

Question no.7

Who are Zomato's target audience?

People between the ages of 18 and 35 who have access to smartphones and are familiar with using apps make up Zomato's target market. It caters to two different consumer types: those who prefer eating out and those who wish to have their cuisine delivered to their homes. These groupings frequently cross over. Through its Zomato Gold programme, it offers meal delivery to individuals who require it and encourages people to eat out. The target market for Zomato includes working professionals who require food in their offices, students who require food in their residence halls, those who lack the time or space to prepare their own meals, and people who occasionally like eating takeout.

Question no.8

How exactly did Zomato fall into losses? and how can it overcome them and become profitable?

From 2018 to 2020 while the revenue of the company went from just 65 dollars to 368 million dollars, during the same time the losses exploded 20 times, from just 15 million dollars to more than 300 million dollars, and every single time Zomato tried to be profitable, it has led to nothing but outrage. They first tried to launch Zomato gold to lock in customers from going to swiggy but that lead to massive losses to restaurants, which forced them to shut

down the service, then they tried to increase the prices of their dishes but that ended up making the customers unhappy. So, from what we are seeing from the outside, it almost seems like the company is stuck in a vicious cycle of financial burden, which is leading to nothing but more and more losses.

There is one very important factor that very few people are taking into consideration and this factor could turn Zomato into a gold mine-that is, as we know Zomato has all the data about and regarding thousands of restaurants and millions of consumers using the platform, who have used Zomato to order food. It knows exactly which dishes are of high demand or popular in which particular area. It also knows the optimum price for a particular dish, they know the exact time to sell a particular dish. For example-it knows that Hinjewadi Pune Biryani priced at rupees 150 will go on to become best seller and the best season for biryani is from November to December. Zomato has also ventured into the concept called "Cloud Kitchen". Cloud kitchen refers to a super-efficient restaurant which only gives out takeaway orders and has no dining space. It's technically just the kitchen of the restaurant that takes orders online and gives it out to delivery. A simple example of this is "Behrouz biryani". It has no outlets but has got a fantastic digital presence, digital marketing is the key. This concept has got game-changing cost benefits over a conventional restaurant. They have their very own interesting platforms called "Zomato kitchen" and "Zomato Hyperpure". Zomato kitchens examples are all these brands Faasos, Behrouz, Good bowl, Box8. Its this wonderful partnership between Zomato and a bunch of handpicked brands across the country wherein Zomato uses its superpower of data and chooses the most profitable location in a particular area and based on what works best in that location, certain brands are chosen and Zomato will provide them with everything starting from raw materials to kitchen infrastructure and this kitchen will have multiple sellers from distinct categories and this particular space will be shared by all the cloud kitchens together which will maximise their profits and optimise their costs.

Question no.9

How Does Zomato Generate Revenue? Give some revenue streams.

Since the very beginning, Zomato has grown its influence in the entire food sector. It offers a variety of streams for revenue.

Zomato Commercials-It offers restaurants an advertising policy so they can increase their revenue and customer base, making advertisements one of the company's most reliable and important revenue sources. More than 70% of its revenue comes from this source. In order to increase the visibility, it enables restaurant owners to post their banners and logo on their websites.

Zomato Membership-It uses cutting-edge techniques and software to forecast consumer behaviour, including what people will search for, what they won't look for, which dishes will be popular, which foods will be in higher demand, etc. Zomato will need payment in exchange for the data from restaurants. They can increase their offerings and hence give customer satisfaction.

Food delivery services from Zomato-Each order placed through Zomato incurs around 20–25% commission fee from that specific restaurant. The commission rate may range from 5 to 7 percent in various areas.

Zomato Event Management-Zomato organises a variety of events, such as Christmas Eve and New Year's Eve, in partnership with specific restaurants in order to increase sales. If someone wants to attend these events, they would have to purchase tickets.

Kitchens on Zomato-Zomato provides a kitchen infrastructure service in which they trade in with certain restaurant owners that wish to grow their company to more locations at a minimal cost. It shows that business owners can easily open a restaurant in that particular location with little fixed and running costs.

PESTEL ANALYSIS OF ZOMATO

A) Political

- Nationwide lockdowns encourage street food sellers and eateries to switch to an online-only model. Policy reforms that favour ease of doing business help enterprises expand into new markets.
- The Digital India Movement: Political climate most favourable for online businesses.
- Government initiatives like the Pradhan Mantri Kaushal Vikas Yojna provide a forum for hiring people with the right expertise and skills.

B) Economic

- Consumer expenditure in India is anticipated to rise by 9.1% in the second half of 2021 after declining by 9.3% the year before as a result of the pandemic.
- Online food delivery has increased significantly at a rate of over 28% per year over the last five years. The online food delivery market in India is expected to expand at compound annual growth rates of 30.55% (based on revenue) and 10.19% (based on the number of users) during the 2020–2024 period.
- It is anticipated to generate a revenue of INR 1,334.99. • India's inflation rate based on the consumer price index (CPI) reached the highest in the past six months at 6.3 percent

C) Social

- More families in India are living busy lives with two incomes; young couples choose to eat out or order takeout.
- With a median age of 28.7 years and an urban population of about 34.9%, concentrated in the metros, India is a country with a sizable market for online delivery services.

India is a country with a sizable market for online delivery services. Millennials base their purchasing decisions on convenience, quickness, and options/choices. Customers nowadays want to belong; therefore, loyalty or membership programmes help them feel like they are a part of a larger group. Increased health consciousness, a developing feeling of community, and a focus on sustainability as a result of the pandemic's second wave. Consumers are now more ready to support locally made, artisanal businesses and buy more from them.

D) Technological

With over 483 million smartphone users, India has the second-largest internet population. Increasing digital literacy across both urban and rural populations is a benefit to online technology-based platforms.

Online app usage among young working populations with smartphones is anticipated to reach 158.4 M (by 2023)

- AR and VR technologies are growing in popularity and are included into most competitors' applications.
- The "Digital India" campaign increased the use of online services.

E) Environmental

Eco-friendly packaging materials have become more popular in India as a result of the country's plastic prohibition. Companies are aiming to minimise their carbon footprints to match the country's initiatives by switching to EVs by 2030 and joining the EV100 initiative.

F) Legal

Respect the rules that govern Indian tech companies According to the Food Safety and Standards Act of 2006, all food business operators must be either registered or licenced.

It was a restaurant review business for the first eight to nine years of its existence, but now the content wasn't coming from them, but in a content business and there are a lot of people who come to consume content at Zomato so it's not really different from what they do, and they think a lot of their target audience in terms of getting people work a job. Zomato's potential as a content platform.

We don't know whether the vegetables we eat are full of pesticides or whether the meat we use is full of antibiotics. Customers don't even know that they should be asking for X versus Y, and many B2C companies have tried to change the customer's mindset, but that's been unsuccessful. In order to change the fundamental fabric of the quality of food that is produced in a country like ours, they need to educate customers at scale.

Like those companies start off with like an invasion of scale and wanting to really change the world, they're never able to get to a point where a lot of customers are eating their food because of how the market is structured. These companies are never able to get a large enough demand base to be able to bring their prices down to a level where more people can buy, so it just stays a niche product.

Zomato doesn't want to grow or prepare food; instead, they plan to work with farmers, restaurant owners, and pretty much everyone else who stands between the farm and the consumer because they believe that B2C businesses today don't really scale, and Whole Foods in the US recently sold to Amazon for \$17 billion. According to Deepinder, a very large company like that had, if he's not mistaken, about 1.5% of the US grocery market at one point in time. As a result, they believe that customers will eat out more often or order takeout more frequently than they will cook at home. Ghar Ka Khana is currently undergoing a transformation to become Ghar Bete Khana.

How do they establish "Ghar bete khana" but "Bahar ka Khana," or how do they achieve this while maintaining trust? They measure a restaurant, the restaurant business, and if the services they offer to the user are genuinely useful within their triple AQ framework. Quality also refers to the cleanliness of the food, and their biggest effort in terms of quality to the consumer is Hyperpure. If they could address these four problems ten out of ten, there would be no reason for us to cook at home.

EXPERIENCE WITH THE CASE or KEY LEARNINGS

Case studies give us examples of circumstances in which they can start to consider their comprehension and answers to issues that arise in real-world settings. Case studies can test students' critical thinking and problem-solving abilities in a secure and open learning environment when they are carefully planned. Case studies examine how customers used your product to achieve their business objectives by using customer success stories. I genuinely got to know how Zomato has a company has evolved into a successful business from a start-up. How it overcame hurdles, pandemic, innovated new strategies to keep the business running. This case study is all about how Zomato never gave up and kept on moving forward, it's marketing plan, strategies, tactics, financials, it includes its SWOT analysis and PESTEL model as well. It all starts with how it started out as a food directory, rebranding as foodebay, it going public, market research, marketing, becoming profitable, to going international. Now, their technology platform, which was introduced in 2010, links consumers with restaurants and delivery services to meet their various needs. Customers use their platform to look for and find restaurants, read and write reviews submitted by other customers, see and upload images, order food delivery, reserve a table, and pay for meals when dining out. On the other side, they offer their restaurant partners sector-specific marketing tools that let them communicate with and attract clients to expand their businesses in addition to offering a dependable and effective last mile delivery service. Additionally, they run a one-stop procurement service called Hyperpure that provides premium kitchenware and foodstuffs to their restaurant partners. They also provide open and flexible pay options to their delivery partners.

TEACHING PLAN AND TIMING

10 mins- Introduction- how Zomato started out as a start-up?

10 mins- how Zomato plans to work towards long term success.

5 mins-Zomato Hyperpure

35 mins- its marketing and communication strategy, the sense of purpose it serves for?

20 mins-its plans to improve customer satisfaction, restaurant quality, consumer behavior

10 mins-factors leading to its success and also why it's a successful food delivery business?

ADDITIONAL MATERIALS

<https://www.youtube.com/watch?v=InqNHkgTX-8&list=PLFkTGrWRclR0sYt2budo0oakpfEAQ5DW&index=10>

https://www.youtube.com/watch?v=OBmp_hlnhD0&list=PLFkTGrWRclR0sYt2budo0oakpfEAvQ5DW&index=13

<https://www.youtube.com/watch?v=dXirvvVXXWA&list=PLFkTGrWRclR0sYt2budo0oakpfEAvQ5DW&index=4>

SUGGESTED CORE READINGS

<https://www.zomato.com/who-we-are>

<https://www.hyperpure.com/>

<https://www.livemint.com/companies/news/zomato-to-focus-on-hyperpure-expects-it-to-be-larger-than-food-business-11661868975525.html>

<https://iide.co/case-studies/zomato-digital-marketing-strategy/>

<https://www.socialsamosa.com/2020/07/zomato-turns-12/>

-BY SAI VYOMINI PATAMSETTY

BBA 1ST YEAR

TEAM-LEOPARDS